IWM RUSSELL 2000 SCANNER

MARKET CLOSE

May 18, 2026 | 04:28 PM ET

3 setups identified | 0 A-Grade | 2 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (1)
	SDRL	**SLNO**
	VCYT	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	SDRL	Seadrill Limited	Offshore Drilling	$54.80	+4.0%	$3.4B	58M	+17.2	99%	SDRL is breaking out t
B	VCYT	Veracyte, Inc.	Genomic Diagnosti	$41.50	+7.8%	$3.3B	79M	+5.4	82%	VCYT is up +7.85% toda
C	SLNO	Soleno Therapeut	Rare Disease Biot	$53.01	+0.0%	$2.8B	52M	+29.8	59%	SLNO is building a tex

SDRL

Seadrill Limited

$54.80

+3.98%

RS vs SPY: +17.2%

B STRONG SETUP

$3.4B Cap | 58M Float

Oil & Gas Drilling | Theme: Offshore Drilling Recovery | 52W Hi: 99% | Base Tight: 4.75 | Vol: 1.73x | RS/SPY: +17.2% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS

Price	**$54.80**
Day Change	**+3.98%**
Mkt Cap	**$3.43B**
Float	**58M sh**
RS vs SPY	**+17.2%**
52W Hi Prox	**99%**
Base Tight	**4.75**
Vol vs Avg	**1.73x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

SDRL is breaking out to a 52-week high (prox_52w 99.3) on energy sector rotation, with crude oil strength and tightening deepwater rig supply driving day-to-day momentum. Forward catalyst path: next earnings August 05 (~79 days out) where a day-rate update and fleet utilization report could re-rate the stock materially higher if deepwater contract signings continue at elevated rates.

BUSINESS & POSITION

Seadrill is a leading offshore drilling contractor operating a modern fleet of ultra-deepwater drillships and semi-submersibles globally, emerging from restructuring with a cleaned-up balance sheet. Its competitive edge lies in premium rig quality and long-cycle deepwater contracts that provide revenue visibility in a supply-constrained market where new rig construction economics remain unattractive.

FACTOR & THEME

Directly exposed to the offshore drilling super-cycle driven by years of underinvestment in deepwater supply and elevated oil prices incentivizing E&P capex - a secular tailwind in Energy that is accelerating as operators lock in multi-year contracts. This week's Energy sector leadership (+3.5% vs SPY, +8.4% 20d) provides a strong macro tailwind for the breakout.

BREAKOUT SIGNAL

Close above $55.17 (52-week high) on volume >2.0x 20-day average to confirm breakout continuation

INSTITUTIONAL

No insider buying reported in the last 60 days and insider_12m context is not available from this feed; recommend cross-referencing Form 4 filings for the full 12-month picture. Institutional ownership data is not available from this feed - cross-reference 13F filings. Volume at 1.73x average is consistent with professional accumulation rather than retail momentum given the small float (57.5M), but does not clear the institutional block-buying threshold; a true institutional surge would show 2.5x+ volume.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 05. Seadrill has generally beaten on day-rate and utilization metrics in recent quarters as the deepwater market tightened; consensus estimates for the August print will center on contract backlog growth and any dividend/capital return announcement, which could be a significant catalyst given the clean balance sheet.

KEY RISK

Thesis invalidated on a daily close back below $51.50 (the prior consolidation highs and approximate breakout pivot), or on a sharp WTI crude decline below $65/bbl that forces E&P clients to defer deepwater contracts - the wide base (base_tight 4.75) and absent RS line new high confirm this is not a textbook coil and increases the probability of a failed breakout test.

ANALYSIS

The strongest disconfirming evidence is the wide base (base_tight 4.75 - nearly 2x the 2.0 VCP threshold), the absent RS line new high, and volume that is only 1.73x average - together these signal a technically sloppy setup that lacks the coiled institutional absorption pattern characteristic of durable SMID breakouts; SDRL is also approaching the literal 52-week high at $55.17, meaning the next resistance is blue-sky but the setup has not consolidated properly for a clean pivot entry. The bull case is real - deepwater rig scarcity, energy sector leadership, and a clean float - but the technical structure does not yet merit A-grade conviction. Conviction: Medium.

Signal: Close above $55.17 (52-week high) on volume >2.0x 20-da

Vol vs Avg: 1.73x

SDRL - Technical Chart

VCYT

Veracyte, Inc.

$41.50

+7.85%

RS vs SPY: +5.4%

B STRONG SETUP

$3.3B Cap | 79M Float

Diagnostics & Research | Theme: Genomic Diagnostics Growth | 52W Hi: 82% | Base Tight: 4.51 | Vol: 1.51x | RS/SPY: +5.4% | Above 20MA: YES | EARNINGS IN 79D

SETUP METRICS

Price	**$41.50**
Day Change	**+7.85%**
Mkt Cap	**$3.31B**
Float	**79M sh**
RS vs SPY	**+5.4%**
52W Hi Prox	**82%**
Base Tight	**4.51**
Vol vs Avg	**1.51x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

VCYT is up +7.85% today, likely driven by a clinical data publication, payer coverage decision, or analyst upgrade for its genomic cancer diagnostics portfolio (Afirma, Decipher, Prosigna); the move is meaningful in magnitude but occurs from a wide, unconsolidated base. Forward catalyst: next earnings August 05 (~79 days) where volume ramp in Decipher Prostate and international Prosigna expansion could drive a revenue beat and guidance raise - the key watch item is any CMS reimbursement decision on new test codes, which would be a high-impact binary catalyst.

BUSINESS & POSITION

Veracyte is a commercial-stage genomic diagnostics company offering a portfolio of cancer classifiers - including Afirma (thyroid), Decipher Prostate, and Prosigna (breast) - that help physicians make more precise treatment decisions and avoid unnecessary procedures. Its competitive moat is built on proprietary gene-expression algorithms, strong clinical validation data, and established relationships with academic medical centers and urologists.

FACTOR & THEME

Exposed to the precision oncology and molecular diagnostics secular tailwind, where genomic testing is progressively replacing histopathology in cancer staging - a multi-year growth runway driven by CMS coverage expansion and oncologist adoption curves. This theme is independent of the current Technology/Energy leadership rotation, providing idiosyncratic upside potential but also limited near-term sector-rotation tailwind.

BREAKOUT SIGNAL

Close above $42.50 on volume >2.0x 20-day average to confirm continuation; current 1.51x volume is insufficient for institutional conviction

INSTITUTIONAL

No insider buying reported in the last 60 days and no 12-month context is available from this feed - for a $3.31B diagnostics company, institutional ownership via 13F filings should be cross-referenced; institutional ownership data is not available from this feed. The 1.51x volume on a +7.85% day is at the lower end of the institutional conviction threshold - this reads more like a catalyst-driven gap on moderate volume than a sustained institutional accumulation program, which is a mild concern for follow-through.

EARNINGS

EARNINGS IN 79D

EARNINGS CONTEXT

Next earnings August 05. Consensus will focus on total test volume growth (particularly Decipher Prostate in the high-growth urology channel), gross margin expansion trajectory, and any update to the international commercialization timeline for Prosigna. VCYT has historically been a serial beater on volume metrics; a beat on the August print with raised full-year guidance would be a strong re-rating event from current levels.

KEY RISK

Thesis invalidated on a close back below $38.00 (the pre-move consolidation area and approximate 20-day moving average support), or on any negative CMS coverage determination or reimbursement rate cut for Decipher or Afirma - the wide base (base_tight 4.51) and volume of only 1.51x suggest the move may be exhausting the near-term catalyst without setting up a clean technical follow-through.

ANALYSIS

The strongest disconfirming evidence is the combination of the widest base in the scan (base_tight 4.51), the lowest rs_vs_spy of the three candidates (+5.4), an absent RS line new high, and the minimum-threshold volume (1.51x) - together these suggest today's +7.85% move is a news-driven gap in a sloppy technical structure rather than an institutional breakout from a proper base; VCYT is also only at prox_52w 81.8, meaning meaningful overhead supply remains before blue-sky territory. The bull case - precision oncology tailwind, serial beat history, and a specific August catalyst - is real, but the technical structure does not yet justify a high-conviction breakout entry; the proper trade is to wait for a VCP re-consolidation of today's gap and a volume-confirmed breakout above $42.50-$43.00 before committing capital. Conviction: Medium.

Signal: Close above $42.50 on volume >2.0x 20-day average to co

Vol vs Avg: 1.51x

VCYT - Technical Chart